implemented while Basel III is in implementation.

BIS describes Basel III norms as follows:

Basel III is a comprehensive set of reform measures developed by the Basel Committee on banking supervision to strengthen the regulation, supervision and risk management of the banking sector. These measures aim to:

- Improve the banking sector's ability to absorb shocks arising from financial and economic stress, whatever the source
- Improve risk management and governance
- Strengthen banks' transparency and disclosures."[12]

There are two components in Basel III. They are:

1. Capital
2. Liquidity

1. Capital

The capital consists of three pillars. They are:

Pillar 1: Capital, risk coverage and containing leverage

Pillar 2: Risk management and supervision

Pillar 3: Market discipline

Pillar 1: Capital, Risk Coverage and Containing Leverage

Basel III norm fixed norms about type and quantum of each type of capital. This ensures the quality of capital. Capital is a liability the bank owes to investors. Capital norms are fixed in proportion to assets. Assets are the investments made by banks including loan. The total capital to risk weighted asset ratio must be at least 8 per cent at all times.